Issue was fully subscribed and the amounts due were received except Priya to whom 500 shares were allotted who failed to pay the allotment money and fist and final call money. Her shares were forfeited. All the forfeited shares were reissued to Devi at ₹ 8 per share. Pass journal entries.

Solution

In the books of Thangam Ltd.
Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c (50,000 × 5)	Dr.		2,50,000	
	To Equity share application A/c				2,50,000
	(Application money received)				
	Equity share application A/c	Dr.		2,50,000	
	To Equity share capital A/c				2,50,000
	(Transfer of application money to share capital)				
	Equity share allotment A/c (50,000 × 5)	Dr.		2,50,000	
	To Equity share capital A/c (50,000 × 3)				1,50,000
	To Securities premium A/c (50,000 × 2)				1,00,000
	(Allotment money due)				
	Bank A/c (49,500 × 5)	Dr.		2,47,500	
	To Equity share allotment A/c				2,47,500
	(Allotment money received except on 500 shares)				
	Equity share first and final call A/c (50,000 × 2)	Dr.		1,00,000	
	To Equity share capital A/c				1,00,000
	(First and final call money due)				
	Bank A/c (49,500 × 2)	Dr.		99,000	
	To Equity share first and final call A/c				99,000
	(First and final call money received)				
	Equity share capital A/c (500 × 10)	Dr.		5,000	
	Securities Premium A/c (500 × 2)	Dr.		1,000	
	To Equity share allotment A/c (500 × 5)				2,500
	To Equity share first and final call A/c (500 × 2)				1,000
	To Forfeited shares A/c (500 × 5)				2,500
	(500 shares forfeited for nonpayment of allotment and first and final call money)				
	Bank A/c (500 × 8)	Dr.		4,000	
	Forfeited shares A/c (500 × 2)	Dr.		1,000	
	To Equity share capital A/c (500 × 10)				5,000
	(500 forfeited shares reissued)				

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